

What is the time that it takes for the CAPEX to translate to Revenue?

Projects in some business segments can be completed in 2-3 months whereas at some places, it may take 2-3 years. The company needs to invest in the cash repeatedly. **The important thing to know is that once the project completes, how much will it take to generate significant revenue or for the project to ramp up? It is very important to understand the lead time for a project.**

If a project generates revenue from the start and goes up to 4-5 months, then the impact on the balance sheet and income statement won't be that high

But if the project is sizeable and takes 4-5 years to complete, the company constantly has to fund the expansion and in many cases pay interest too.

The company invests more and more cash into the CAPEX program. To fund the project for so many years, they will have to take out a loan or debt and service the debt even before the plant is in production.

They will be paying debt interest for 4-5 years, but the machine will not contribute anything to that company. Once the lead time is complete, it will start contributing. **However, in general, long lead time impacts the Income Statement and Balance Sheet quite a lot, and we need to understand this impact. We also need to know how well the company manages it. We need to know if the company has undertaken something beyond its means or resources, which will otherwise put a lot of stress on the Balance Sheet and Income Statement. We also need to understand the possibility of lead time extending.**

Impact of CAPEX on margins

When the company has CAPEX, the interest expenses and debts swells up, and the margins contract, generating relatively less cash flow. A large part of the cash flow will be redirected to the CAPEX program. In such a scenario, we need to understand the company's financial preparedness to undertake such CAPES programs.

